The accord of 1975 did not let Abdullah achieve his ambition of returning to the exact position of power that he enjoyed before his dismissal in August 1953. The accession of the state to India seemed final and Abdullah, in public statements, confirmed his acknowledgement of the current state of affairs. However, the accord did grant him the freedom to review all the laws of the state that had been enacted since 1953.

The 1977 elections in the state marked a turning point in its troubled history. The 1975 Kashmir accord, had now been shown to be an illusion. Abdullah was no longer the chosen instrument of the Indian Government. The rift in opinion between the people of the valley and Jammu residents was leading to communal tensions; the Hindus felt belittled because they thought the Muslims were ruling them and the Muslims believed that Jammu's Hindus were trying to break up the state. Abdullah had been endorsed by what can only be described as a Muslim voter base but in no way could he be seen to be the voice of Islam in Jammu and Kashmir. This space was now taken up by the Jamaat-e-Islami.

Abdullah's intent was made obvious not through a single manifesto but through isolated actions. In September 1977, for example, the state government took measures that indicated the beginnings of press censorship. In November, the state government assumed certain powers of detention, through ordinances like the Jammu and Kashmir Public Safety Ordinance 1977, that could last up to two years without the right of appeal. Abdullah explained that he needed a stronger hand in order to deal with undesirable 'infiltration' from Pakistan. By the beginning of 1978, these various draconian ordinances gave rise to demonstrations across the state. He also enacted the Agrarian Reforms (Amendment) Act of 1978 to garner support on the lines of the land reforms made in his first tenure, after his re-election in 1977.

In September 1978, suspecting that some of his colleagues were not wholeheartedly backing his decisions, Abdullah ordered all members of his cabinet to take a personal oath of loyalty to him. Mirza Afzal Beg, who had stood unflinchingly beside Abdullah for well over four decades, now broke up with his old friend. Beg, who was seen as a natural successor to